

Alternative Corporate Governance: Domestic Media Coverage of Mergers and Acquisitions in China^{*}

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Abstract

A text analysis of domestic Chinese newspaper articles on 797 proposed mergers shows that media in developing countries are quantifiably susceptible to pressure: media coverage is more favorable for deals consistent with government objectives and involving powerful local firms. However, we also find that media tone can affect the outcome of proposed M&A deals by informing the market. We identify this effect using the exogenous shock to market-driven governance from the Split-Share Structure Reform in 2007. Negative tone during negotiation coverage also predicts long-term performance for the bidder. Despite biased coverage, domestic media in developing countries can function as an alternative channel for corporate governance.

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1. Introduction

Can a biased local media source still provide useful information to supplement corporate governance in developing countries? We examine the role that newspapers play in the governance of mergers and acquisitions in China. The existence of a market for bias in the news has been widely documented even in the absence of political pressure.¹ The content of media coverage is a valuable commodity which has a widely documented ability to shape perceptions and outcomes of significant events.² This value, coupled with the strong government and business influence on the Chinese media requires domestic coverage of the M&A market to meet two distinct demands in the tone of its reports: those of the government and the business elite, and those of the market.

In the sphere of corporate governance, media coverage can influence managers and board members and force them to take corrective actions to enhance shareholder wealth.³ To the best of our knowledge, there is little direct evidence on how well this tradeoff between providing information and opinion is negotiated. It is unclear how well a biased media fulfills the monitoring role in corporate governance, especially in developing countries. China combines an active capital market's demand for information with a political and corporate demand for bias,⁴ providing an informative sample to test the interaction of the two.

We identify political and corporate factors that influence the tone of the domestic press coverage of M&A events in China, and test whether this compromised coverage can still improve corporate governance. These findings can be abstracted to the broader picture of corporate governance through the media in the developing world. Developing countries lack a well-established managerial labor market and an effective legal system for protection of minority shareholders that are found in developed countries.⁵ Additionally, in developing countries press coverage is more likely to be under government censorship (Djankov et al., 2003; Besley and Prat, 2006). The ability of the domestic media to serve as an external governance mechanism,

¹ By selective omission, choice of words, and varying credibility ascribed to primary sources media coverage reshapes the covered material. This is defined as media bias or media slant (Gentzkow and Shapiro, 2006; Gentzkow and Shapiro, 2008). See also Groseclose and Milyo (2005), Mullainathan and Shleifer (2005).

² The media can play a crucial role in political elections (Stromberg, 2004; Gentzkow, 2006; Della Vigna and Kaplan, 2007; Gentzkow et al., 2012), product consumption (Bagwell, 2007; Reuter, 2009), education (Gentzkow and Shapiro, 2004), and entertainment (Jensen, 1979; Jensen and Oster, 2007; Olken, 2009; LaFerrara et al., 2012).

³ E.g. Dyck and Zingales(2002,2004); Miller(2006); Dyck, Volchkova and Zingales(2008); Dyck, Morse and Zingales, (2010); Joe et al.(2009); Bushee et al.(2010); Liu and McConnell(2013).

⁴ E.g. Winfield and Peng (2005), Zhao (2005), Lee et al. (2006).

⁵ E.g. Shleifer and Vishny(1997); La Porta et al.(1998,2000); Demirguc-Kunt and Maksimovic(1998); Levine, (1999); Pistor et al.(2000); Sun and Tong(2003); Allen et al.(2005); Cull and Xu(2005).

supplementing an ineffective domestic legal system in spite of censorship, is an important issue in corporate governance that merits further examination.

This issue is at the core of our paper, making it most similar to prior work by Dyck, Volchkova and Zingales (2008) who study the role of the media in reversing corporate governance violations in Russia. The authors find that public exposure of these violations works only if it is done through international media like the *Wall Street Journal* and *Financial Times* rather than the domestic media. The international media coverage in Dyck et al. (2008) appears to serve a governance function in part by impacting companies' reputation in capital markets abroad and in part by forcing regulators into action, rather than through pressure from the domestic financial market. The implication of Dyck et al. (2008) for developing economies such as China is that the domestic media should be unable to perform a governance role even without the complications introduced by censorship. We seek to explore this issue further. The developing economic and political system of China presents a well-suited laboratory setting for our analysis. It is the largest developing country and the second largest economy in the world, but inconsistent with these achievements China ranks 173th in the world by freedom of the press⁶ and 98th by degree of minority shareholder protection.⁷

Since the opening of the Chinese stock market, it has experienced remarkable growth and with it a commensurate demand for investable information: There were only a total of 10 listed companies on the Shanghai (8 listings) and Shenzhen (2 listings) Stock Exchanges when the market opened in 1990. By the end of 2011, there were 2,342 listed companies with a total market value of RMB 21.48 trillion (USD 3.13 trillion, the third largest market after US and Japan). Over this twenty-two year period an average of 120 firms per year raised capital through IPOs. The total amount of financing obtained through IPOs and SEOs was RMB 5.9 trillion and the number of listed companies rose 20% per year on average.⁸

As indicated by China's low ranking in minority shareholder protection, this growth has not

⁶ According to the 2013 press freedom index released by Reporters Without Borders, an NGO for the promotion of freedom of information with consultative status at the UN and UNESCO.

⁷ According to the 2013 minority shareholder protection index released by The World Bank's Doing Business Project.

⁸ According to the China Association for Public Companies, a self-regulatory organization under the China Securities Regulatory Commission (CSRC). http://www.capco.org.cn/zhuant/cjz/xi_fzzd.html. Furthermore, according to the China Securities Depository and Clearing CO., LTD (CSDC), there were a total of 165.47 million individual and institutional stock accounts at the end of 2011.

been accompanied by appropriate development in governance and shareholder rights. Although China enacted a modern company law in 1993 and a securities law in 1998 respectively, legal protection of minority shareholders and internal corporate governance in firms remain weak (Sun and Tong, 2003; Allen et al., 2005; Fan et al., 2007; Jiang et al., 2010). See Feinerman (2007) for a comprehensive survey of the recent state of the legal and regulatory framework of Chinese corporations.

Consistent with the low ranking in freedom of information, ultimate control of the media often remains with the Chinese central or local government and the content of the news is always under scrutiny from the Party Committee Propaganda Department. Economic reforms to the Chinese media business model and the liberalizing Split Share Structure Reform has enhanced the competitiveness and motivated the development of the media industry. There is now more incentive for media coverage to meet the demand for accurate information from retail investors, though this is a risky activity that can be strongly discouraged.

Exposing corporate misdeeds in China can produce very different results for the media firm: *Caijing*, a well-known financial magazine, first made a name for itself by publishing a series of expository articles about securities law violations in the fund industry in November 2000, and exposing the Yinguangxia accounting fraud in August 2001, one of the most famous fraud cases in the Chinese stock market. Apart from capturing the attention of investors and regulators, these revelations caused the first severe punishment of eight funds by the China Securities Regulatory Commission (CSRC) and the first securities fraud lawsuit in Chinese history leading to the first ruling on securities fraud law by the Supreme Court.

Another financial newspaper, *China Business Post*, was less lucky. After it reported illegal transfers of bad debt at the Agriculture Bank of China in July 2008, the newspaper was punished by suspension of publication for three months with the stated reason that the media should not cover news across other provinces. Shortly after the temporary suspension of publication, the *China Business Post* was permanently closed.

In our study we focus on the effect of media in corporate governance of M&A in China, since mergers and acquisitions represent some of the most significant firm-level capital budgeting decisions. We combine the China Core Newspapers research database of domestic news articles with the Thomson Financial SDC Platinum Merger and Acquisition Database to investigate the

role of the Chinese media in M&A during the 2000-2012 period. Virtually all M&A deals during this period have a publicly listed acquirer and a private or subsidiary target, consistent with earlier findings reported by Bhabra and Huang (2013). The documented weaknesses in corporate governance of listed firms (Fan et al., 2007; Feinerman, 2007; Jiang et al., 2010) imply that investors can't rely on internal disclosures of useful information about the proposed acquisition. The private targets are similarly or even more opaque than the acquirers. Therefore, individual investors must depend on alternative channels like the media to obtain useful information in a cost-effective way (Dyck et. al., 2008; Dyck et. al., 2010). If information about impending value-destroying acquisitions is available, minority shareholders may not have a way to protect themselves other than by liquidating their positions, which may or may not affect the deal outcome.⁹

Thus, we first consider the determinants of the tone of the coverage, and whether media coverage can affect the outcomes of proposed M&A deals. We also make use of an exogenous shift in the effectiveness of media coverage: the Split-Share Structure Reform that began in 2005 dramatically increased the number of tradable shares in the market and therefore the effectiveness of the media in informing market governance.¹⁰ By marking to market 64% of previously untradeable firm equity, this reform aligned incentives for all shareholders (Li et al., 2011; Liao et al., 2014). Finally, we test whether the opinions expressed in coverage of M&A deals accurately predict the long-term outcome of the acquiring firm.

Our results show that during 2000-2012, bidders have significantly positive returns whether completing transactions or withdrawn the transactions at last. The cumulative abnormal return around the announcement from -2 days to +2 days for the full sample of bidders is a statistically significant positive 5.59% (median=1.72%), which is consistent with the evidence from Bhabra and Huang (2013). In the short run, market reaction to M&A announcements is positive.

⁹ For example, the TCL-Thomson television joint venture and its acquisition of Alcatel's mobile phone business in 2003, Shanghai Automotive's of the Sangyong motor company in 2004, and Ping An Insurance's acquisition of Fortis in 2008 caused historic losses and had widespread media coverage. However, the only thing minority shareholders could do to mitigate these value-destroying deals was to liquidate their positions.

¹⁰ In 2004, 64% of the total outstanding shares of public firms were not listed and could be transacted only through private negotiations in which the price was not marked to market. The absence of market-based prices severely hampered market discipline of poor corporate governance. Thus, managers and board members who are bureaucrats appointed by the government in state-owned firms (Fan et al., 2007) or family members in private firms (e.g., La Porta et al., 1999; Claessens et al., 2000; Faccio and Lang, 2002), are largely immune from reputational and wealth effects of market discipline. This traded/untraded split-share structure was begun to be reformed in 2005 by gradually converting all unlisted shares into tradable shares, enabling market discipline in the future.

Using a text categorization analysis of negative tone of newspaper articles collected from the announcement to either date effective or date withdrawn,¹¹ we find that media coverage has a less negative opinion of withdrawn M&A deals. OLS regression indicates that local deals, ones in which the bidder and the target are in a same province, and oversea deals, in which the target is a foreign firm, significantly decrease the negative tone of the media coverage in M&A consistent with political pressure. Furthermore, firms that are prominent in their province, as measured by the ratio of firm sales to province GDP, and receive more same-province coverage also have significantly more favorable overall coverage consistent with corporate pressure.

A logit test of whether media tone affects the likelihood of M&A deal completion shows that an interaction of amount of press coverage with the tone of coverage for private (not state-owned) firms is negative and significant, which implies that the media can force the managers to abandon a proposed acquisition that receives media criticism. This effect occurs in the entire sample, but subsample analysis shows that it is observed after the market power enhancing Split-Share Structure Reform is implemented in 2007, and not prior to it. These findings are robust to potential endogeneity between media coverage and outcomes.

Finally, we also find that the degree of negative tone coupled with intensity of media coverage can predict long-term acquirer performance after the M&A attempt whether the deal is completed or abandoned. The more negative the tone of the news and the higher the number of articles printed, the worse the long-term performance-adjusted and industry-adjusted ROA of the deal.

This paper contributes to the literature on the effects of press coverage on capital markets in developing countries by examining the role of domestic media in corporate governance of the largest developing economy, China. Previous work in on the role of media governance investigates the impact of the media mostly in developed stock markets with an effective legal system and strong governance mechanisms. These studies generally find that press coverage can force the managers to take corrective actions, enhance shareholder wealth, and influence the stock price (e. g., Dyck and Zingales, 2002, 2004; Miller, 2006; Tetlock, 2007; Dyck et al., 2010; Joe et

¹¹ According to the Thomson Financial SDC Platinum Merger and Acquisition Database, Date Effective is the date on which either 1) the deal was declared unconditional, i.e. the date on which all conditions set by the acquiror have been fulfilled, or 2) the deal was completed if unconditional status is not applicable to the deal. Date Withdrawn is that when the transaction is terminated, withdrawn, expires or becomes otherwise unsuccessful.

al., 2009; Fang and Peress, 2009; Bhattacharya et al., 2009; Liu and McConnell, 2013; Engelberg and Parson, 2011; Ahern and Sosyura, 2014a; Ahern and Sosyura, 2014b). Our work considers how the issue stands in a developing country with strong biasing forces on the media and without effective legal protection for minority shareholders and a well-established managerial labor market.

The paper proceeds as follows: Section 2 provides background information on the development of Chinese media and its relationship to the government and develops testable hypotheses. Section 3 describes our dataset and defines variables. Section 4 contains empirical results and discussion. Section 5 concludes. Appendix A lists our sample selection criteria and Appendix B provides definitions of all the variables in the analysis.

2. Institutional Background and Hypotheses

2.1 The state of the Chinese media

From 1949 to 1978 the Chinese government fully controlled the administration, funding, and circulation of domestic media. Print information was distributed in two newspapers, *The People's Daily* and *The Liberation Army Daily*, and one journal, *The Red Flag Magazine*. In this arrangement, known as the Soviet Communist model of the media (Siebert, Peterson and Schramm, 1956), the publications played the role of “the party's and the government's mouthpiece”.

Lack of financial support during the Great Leap Forward (1958-1960) and the Cultural Revolution (1966-1976) in China caused the media to request the government to relax operational control. Starting in 1978 the media industry experienced three phases reform.¹² In the first phase, the media requested partial rights of self-administration and corporatization which were gradually allowed. In 1979 advertisements first began to be published, becoming an important symbol of media corporatization.

In the second phase came a gradual separation of editorial and managerial control. In 1987, the Guangzhou local *Yangcheng Evening News* first separated editorial and managerial control to better serve market demand. This pattern was quickly adopted by other newspapers. Subsequent shareholding and industrialization reforms gradually produced diversified press coverage and

¹² For details, see Zhao (2005), Winfield and Peng (2005), Lee et al. (2006), and Huang (2007).

increased the demand for news, efficiency of information transmission, and quality of information. While a few outlets like *The People's Daily* still get subsidies, most other print media operate to maximize profits and independently manage circulation within the boundaries prescribed by the government. Chinese media sources now rely on advertising revenue for support, similar to a free market model, but are still restricted in terms of topics and coverage (Winfield and Peng, 2005; Zhao, 2005).

The third phase came after China joined the WTO in 2001 and the domestic media market was opened to foreign participation and investment. As a consequence of the transition to a market-based business model the demand for accurate reporting increased. However, government control of the media has adapted rather than disappeared. The system of direct government control has been replaced with one of self-censorship, access blocking, increasingly bureaucratized regulation, and the formation of oligopolies to minimize fringe viewpoints (Winfield and Peng, 2005). Newspapers must be licensed and registered under an authorized publisher, and cannot be independent businesses (Zhao, 2005). Violation of express or implied rules, as in the case of the *China Business Post*, can lead to censure and even termination of the offending newspaper. The domestic Chinese media therefore finds itself in dilemma of being forced simultaneously to cater to the demands of the market and those of the political and economic elite in terms of reporting content.

2.2 Split Share Structure Reform

To test whether media coverage affects deal outcomes through the financial market we make use of an exogenous shock to market power, the privatizing Split Share Structure Reform (SSSR) which was completed in 2007. Prior to this reform, 64% of the total outstanding shares of all public firms were not listed or marked to market. Between 2005 and 2007 these shares gradually became publicly tradable, aligning incentives among minority and controlling shareholders and enabling market discipline (Li et al., 2011; Liao et al., 2014).

Prior to SSSR implementation, begun in 2005 and completed in 2007, fully two-thirds of all shares were not tradable, driving a wedge between incentives for minority and controlling shareholders. Since a majority of controlling shareholder wealth was not marked to market through trading, the incentive to create firm value was reduced along with the reduced potential to profit from the resulting capital gains. Instead controlling shareholders extracted private benefits

from the firm in the form of related-party transactions and corporate lending (Liao et al., 2014). While these private benefits may have been extracted at a cost to share value, the lack of a pricing mechanism for 64% of shares meant that 64% of these costs were not internalized, substantially lowering the downside of firm value destruction for the controlling shareholders. By marking all shares to market, this perverse incentive was eliminated. Additionally, the introduction of market pricing to the entire portfolio of shares significantly increased the demand for, and supply of, public material information provided through the media. Figure 1 presents the evolution of M&A media coverage in terms of financial articles matching the keywords “merger”, “acquisition”, and “merger and acquisition” during the sample period. We report both *total articles*, the total count of matching articles by year, and *mean articles*, the count of matching articles normalized by the number of listed firms in each year. Both measures increase significantly in 2006 after the implementation of SSSR.¹³ This is consistent with an increase in the supply of M&A coverage in newspapers in response to an increased demand tradable information driven by the share reform.

2.3 Related Literature and Hypothesis Development

2.3.1 The determinants of media tone in M&A coverage

Miller (2006) describes the market for the media’s watchdog role in corporate governance. When deciding what corporate news to cover, the media weighs the cost of investigation against the revenues from the resulting report, maximizing profit like other industries (Jensen, 1979; Stromberg, 2002; Mullainathan and Shleifer, 2005). In developing economies, often in spite of constitutional protection of a freedom of the press, government censorship imposes additional costs to the investigation of certain topics (Djankov et al., 2003; Besley and Prat, 2006). These additional costs can be expected to distort equilibrium coverage.

We expect political and business pressure on media tone to follow from government ownership and government and business objectives. Gurun and Butler (2012) show that at the local level media has incentives to favorably cover local firms due to local advertising pressure, which is the Chinese context adds local political pressure. At the international level, we expect acquisitions of foreign targets, encouraged by the Chinese government as part of both economic and foreign policy (Bradsher and de la Merced, 2012), to be supported by the media. This leads us

¹³ The normalized count, *total count*, later decreases but this is due to the continually growing number of listed firms.

to formulate our first testable hypothesis:

Hypothesis 1: *If newspaper coverage of Chinese M&A is politically biased, it should respond to politically and economically supported deals. Specifically, media coverage of local and overseas deals, as well as those by important local businesses, should be more favorable, all else equal.*

2.3.2 The effect of media coverage on M&A decisions

Dyck and Zingales (2002) suggest that the media affects corporate behavior through encouraging the introduction or enforcement of corporate laws and affecting manager reputation in the labor market (Fama, 1980; Fama and Jensen, 1983) and in society. Subsequent literature shows that negative media coverage can force the targeted agents to take corrective action (e.g. Dyck et al., 2008, 2010; Joe et al., 2009; Liu and McConnell, 2013).

Many Chinese managers and directors are either government-appointed bureaucrats in state-owned firms (Fan et al., 2007) or founders and family members in private firms (e.g., Claessens et al., 2000). Without a well-established managerial labor market (Sun and Tong, 2003) reputational concerns do not strongly influence managerial decisionmaking. This is mitigated by the extent to which a listed company needs to access the capital market, as its reputation will affect the terms and the cost of future financing (Diamond, 1989; Dyck et al., 2008; Karpoff et al., 2008a, 2008b). State-owned firms can obtain capital from the four major state-owned commercial banks (Allen et al., 2005), further reducing reputational concerns. On the other hand, media-driven reputation should be a stronger concern for private firms and especially ones partly owned by foreign investors through the Qualified Foreign Institutional Investor (QFII) program. Therefore, we expect media tone to matter in M&A deals by private, but not by state-owned firms. Furthermore, we expect this effect to become stronger as more shares become tradable after the Split-Share Structure Reform is largely completed by 2007. This leads us to our second testable hypothesis:

Hypothesis 2: *If the tone of M&A coverage affects managers and deal outcomes by informing the financial markets, it should matter most strongly for non-stateowned (public) firms. Furthermore, this effect should be stronger after the Split Share Structure Reform as substantially more shares*

become tradable.

2.3.3 The predictive power of media coverage of M&A

The premise of a watchdog role of the media requires that the information the media provides about firm performance proves to be useful. Therefore, if media tone affects managerial decisions through the financial market, we should expect that media tone is an informative signal for prices. We test this by examining changes in performance-adjusted ROA and industry-adjusted ROA from the pre-merger year to three years afterward as long-run measures of performance following the approach of Wang and Xie (2009). If the Chinese financial market finds media tone worth listening to, we should expect media tone to predict long-run firm performance. This is our third testable hypothesis:

Hypothesis 3: *If M&A coverage affects deal outcomes by informing the financial markets about expected acquirer value, it should have predictive power about long-term acquirer performance.*

3. Data Description

3.1 Sample description

We extract the M&A sample from the Thomson Financial SDC Platinum Merger and Acquisition Database and manually check the date of announcement from the Shanghai and Shenzhen Stock Exchanges. We screen the data consistent with other M&A research and obtain 662 completed acquisitions and 135 withdrawn acquisitions between January 1, 2000 and December 31, 2012. The screening criteria are listed in the Appendix.

We also manually collect media data from the China Core Newspaper Full-text database (<http://www.cnki.net/>) which collects articles from more than 500 Chinese mainland newspapers with over 10 million searchable articles by the end of October 2012. We obtain price, accounting, and corporate governance data from the China Stock Market and Accounting Research (CSMAR) database, Sinofin Economic and Financial database and Wind Financial and Securities database respectively.

In Table 1, we present the distribution of announcement year of our sample of acquisitions. Starting in 2000, the number of acquisitions per year rises gradually with a peak in 2011. Panel A

reports the annual mean and median deal values, bidder market capitalizations, and the ratio of deal value to bidder size. Deal values reported by Thomson are given in dollar amounts. For financial variables like market value and sales expense, we convert end of fiscal year yuan to dollar values.¹⁴ The average (median) of the deal value is 150.85 million dollar (26.66 million dollar) and the average (median) of the bidder market capitalizations is 414.38 million dollar (190.44 million dollar), and the mean (median) of the ratio of the deal value to the bidder market capitalizations is 81.83%(13.21%). Panel B shows the distribution across industries. Notable clusters of M&A activity include the materials industry with 217 (27.23%) acquirers and 218 (27.35%) targets, and the manufacturing industry with 161 (20.20%) acquirers and 141 (17.69%) targets.

[insert Table 1: Sample distribution by announcement year]

3.2 Variable construction

Our key variables are the tone and amount of media coverage of the proposed acquisition, CAR, and change in ROA.

We use a text analysis tool¹⁵ with a negative and positive Chinese dictionary to assess the tone of media coverage. Following the approach of Tetlock (2007), Loughran and McDonald (2011), and Gurun and Butler (2012), we count the fractions of negative, neutral and positive words in a news text. We identify newspaper articles to analyze by searching for the target's name in the China Core Newspaper Full-text database and manually verifying that each news story concerns both the bidder and target, and is at least 50 Chinese words in length. Since Baumeister et al.(2001), Rozin and Royzman (2001) and Tetlock (2007) suggest that negative information may have more impact than positive information, we measure the media tone of each article as the fraction of negative words in it. The resulting variable *Negative_tone* is bounded between zero and 1, with higher values indicating more negative tone.

A transaction that doesn't attract media attention is less likely to reach investors, regulators, or

¹⁴ We obtain the exchange rate at the end of the fiscal year using the mean of market quotes reported on that date from China's State Administration of Foreign Exchange (SAFE).

¹⁵ The Chinese text mining software ROSTCM6, developed by professor Yang Shen and his team in Wuhan University is widely used in text analysis, webpage crawling, the analysis of news, online public opinion, and micro blogs etc. The manual and software can be downloaded at <http://blog.sciencenet.cn/u/runasun>.

society in a significant way and therefore less likely to affect managerial decisionmaking. To account for this we use the number of articles per deal as a measure of media attention, consistent with Liu and McConnell (2013). We count articles that are over 50 words in length and mention both the target and acquirer firms. To compensate for the lower rate of coverage in our data, we extend the sample window and collect the number of articles from the date of announcement to 60 days or the end of negotiations, whichever comes first. The variable *Amount of press coverage* is this count of articles in the post-announcement window.

Furthermore, the results of Sun and Tong (2003) and Fan et al. (2007) suggest that state-employed managers are insulated from market pressure, and therefore pressure from media coverage, in a way that non-stateowned firm managers are not. To isolate this effect, we create a three-way interaction variable *Market_tone* as the interaction of *Negative_tone*, *Amount of press coverage*, and an indicator variable for non-stateowned firm status.

We measure five-day cumulative abnormal returns (CAR) around the announcement period (-2, +2) where date 0 is the announcement day. We calculate the acquirer's CAR using the modified market model (Brown and Warner, 1985).

We study long-run firm performance using two measures of change in ROA: adjusted by peer firms and by industry. The ROA of each firm is calculated as the ratio of operating income to the book value of total assets. For the fiscal year prior to each announcement, we identify a control firm by matching its ROA to that of the acquirer with the same three-digit SIC code. The acquirer's performance-adjusted ROA is calculated as the difference of the acquirer's and the matched control firm's ROA, and the change in performance-adjusted ROA is the difference between the pre-announcement and average post-announcement performance-adjusted ROA for the subsequent three years. We create an analogous measure of change in industry-adjusted ROA by substituting the average industry ROA for that of the control firm.¹⁶

We include a battery of control variables following prior literature. The data sources and variable definitions for these are given in Appendix B.

3.3 Summary statistics

¹⁶ Wang and Xie (2009) point out that performance-adjusted ROA may be more accurate than industry-adjusted ROA due to abnormal pre-merger performance in US acquirers. The Chinese acquirers in our sample exhibit smaller, but also abnormal performance pre-merger with mean and median industry-adjusted ROAs of 0.0096 and 0.0078 respectively, both significant at 1%. The requirement of obtaining 3 years of post-announcement ROA data reduces our sample from 797 deals to 515 deals.

Table 2 shows the summary statistics of our variables. To mitigate outliers in ROA, Tobin's Q, sales growth and leverage, we winsorize these variables at the top and bottom 99% and 1%. The mean of the five-day CAR is 5.59%. Table 2 reports standard deviations, but the CAR standard error is 1.04% which indicates that the investors generally have a positive reaction to the acquisitions. The average *Negative_tone* is 9.72% with a standard deviation of 9.26% implying that while overall media coverage does not use many negative words, there is substantial variation in tone across articles. The change in performance-adjusted ROA is not significantly different from zero. Deal characteristics indicate that 83.10% of our sample successfully completed transactions and 16.90% of our sample abandon their attempts. The method of payment is cash 68.80% of the time in sample, and the bidder and target are not in the same or a related industry in 63.60% of our sample. Consistent with earlier findings by Bhabra and Huang (2013), 26.60% and 64.70% of the targets are private firm and subsidiary firm respectively, and only 8.70% of the targets are public firms. 49.80% of merger and acquisition take place in the same province and 4.52% of merger and acquisition take place between domestic bidder and oversea targets. Interestingly, 55.60% of the transactions are between related parties, i.e. they have a common ultimate controller.

[insert Table 2: Summary statistics]

Bidder characteristics indicate that 47.40% of our samples are state-owned. The board of directors is on average composed of only 35.20% independent members in the fiscal year prior to announcement, and the mean ownership of the firm by managers and board members is 8.16%. Additionally, 10.40% of our sample had shares owned by a foreign institutional investor in the fiscal year end prior to an acquisition announcement. The mean of the market value of assets over book value of assets (Tobin's Q) and the fraction of transaction value to acquirer market value (relative transaction value) are 1.83 and 81.80% respectively.¹⁷ Prior to acquisition announcements, the average number of employees in the acquiring firm is 4042. The average of the sales growth and leverage prior to an acquisition announcement are 25.20% and 49.60%

¹⁷ The market values of acquirers are artificially depressed because only a fraction of equity is traded prior to the completion of the Split-Share Structure Reform, which results in an upward bias to the transaction to acquirer market value ratio.

respectively.

4. Results and Discussion

We first characterize acquirers in the Chinese M&A market relative to the general population of Chinese firms, and relate this characterization to previous findings about firms that do and do not participate in the M&A market in the US as reported by Rhodes-Kropf, Robinson and Viswanathan (2005). We capture merger firm characteristics in the year the deal is announced and compare this subsample to the rest of the firms reporting accounting data to the Wind Financial and Securities database from 2000 to 2012. Rhodes-Kropf, Robinson and Viswanathan (2005) find that US acquirers are larger than the nonmerger population across a variety of size dimensions, have superior performance measures, and have higher leverage and lower liquidity. We examine the Chinese merger subsample relative to nonmerger firms in Table 3.

[insert Table 3: Univariate test of difference between non-merger and merger firms]

The book and market values of equity, as well as book value of assets and net income are on average higher for Chinese firms that do not participate in M&A though the Mann-Whitney nonparametric test finds that merger firms are significantly bigger overall, indicating a strong outlier effect. Merger firms have a significantly lower fraction of fixed assets. Merger firms have higher ROA and ROE performance measures consistent with US data, but lower book to market ratios than the nonmerger firms. Liquidity measures appear to be reversed, with merger firms having higher quick and current ratios. The relative characteristics of the Chinese M&A participants to the overall market appear to be different from the US market.

4.1 What factors determine the tone of M&A coverage?

We next consider the determinants of negative tone in domestic newspaper reporting on Chinese M&A in Table 4 in terms of deal and acquirer characteristics.¹⁸

[insert Table 4: What factors determine the tone of M&A coverage?]

¹⁸ Since virtually all Chinese M&A targets are private firms, target characteristics are not available.

We expect media tone to be sensitive to acquirer characteristics in terms of expected performance and risk, and to deal characteristics in terms of expected performance, risk and political and economic biases. We proxy political bias with dummies for local deals in which the target and acquirer are from the same province, benefiting local government, and overseas deals in which the target is a foreign firm, consistent with national government objectives (Bradsher and de la Merced, 2012). We measure potential economic bias in coverage by interacting the sales of the acquirer firm as a fraction of the local province's GDP as a proxy of local importance with two measures of the amount of local coverage. The first measure, *local_media*, is a fraction of same-province coverage to total coverage and the second is the logarithm of the number of same-province articles published about the deal. Table 4 presents panel OLS regressions of negative tone on political and business bias variables and common merger controls with year dummies and industry fixed effects. Columns (1) and (2) of Table 4 present the results for the first measure of local coverage, with and without controls, and columns (3) and (4) do the same for the second.

We find evidence in support of Hypothesis 1 in statistically significant effects of deal characteristic consistent with both political and economic pressure on reporting tone in domestic Chinese newspaper coverage. Local M&A deals, in which the target and acquirer are in the same province, reduce negative media tone by 1.89 to 1.67 in columns (1) through (4), and overseas deals reduce it by 4.15 to 3.09 consistent with findings from Gurun and Butler (2012) about the effect of local firms on local media due to advertising pressure, and the strong political support of Chinese overseas acquisitions at the national level and local acquisitions at the provincial level. We include a battery of acquirer and deal characteristics following the approach of Wang and Xie (2009), as well as additional indicator variables for characteristics specific to the Chinese M&A market: QFII, local and overseas deals, and state ownership. The inclusion of common controls in columns (2) and (4) does not reduce the significance of these coefficients, and actually increases the magnitude of the coefficient on overseas deals.

The interactions of amount of local coverage with the acquirer's local power strengthen this connection. In columns (1) and (2), the fraction of same-province coverage to total coverage interacted with the ratio of acquirer sales to province GDP reduces negative tone, significant at the

5% level after the inclusion of controls in column (2). In other words, a powerful local firm with more local coverage receives more favorable coverage, all else equal. The result is statistically significant at the 1% level when we instead interact log-transformed number of local articles with the sales to GDP ratio in column (3), and the inclusion of controls in column (4) does not reduce this significance.

Expected acquirer performance and risk in the control variables also significantly affects the tone of coverage of the proposed acquisition. As expected, acquirer sales expenses increase the negativity of tone, while sales growth reduces it. Specifically, a 1% increase in sales growth reduces negative tone by 0.01 while a 1% increase in sales expense increases negative tone by 0.0071. We also find that deal characteristics associated with merger governance affect media tone. We find, consistent with the Chang (1998) results for private targets from US data, that cash-financed acquisitions increase negative tone by 1.15 in column (2), but this coefficient is only significant at the 10% level and reverses to reducing negative tone by 0.13 in column (4). Friendly deals increase negative tone of coverage by 2.17 in columns (2) and (4), consistent with a concern about rent extraction at shareholder expense. Acquiring firm size, correlated with value destruction in US merger data,¹⁹ does not seem to affect the tone of domestic Chinese coverage. A relative measure of firm size, transaction value to acquirer size, has a negative effect on tone significant at the 10% level in column (2) though insignificant in column (4). Therefore, from the media's perspective, the size effect does not appear to be recognized or reported in Chinese M&A.

4.2 Can media coverage affect M&A outcomes?

Having found evidence for susceptibility of the newspaper media to political and local business pressure in its M&A coverage, we next consider whether it can still affect M&A outcomes. Of the 797 M&A announcements in our sample, 662 are completed and 135 are withdrawn. We use a logit model to study the effect of the tone of coverage on the ultimate outcome of the announced takeover, controlling for acquirer and deal characteristics. To capture the overall effect of newspaper coverage, we study the effect of the interaction of negative tone and amount of coverage following Liu and McConnell (2013). We hypothesize that

¹⁹ E.g. Moeller, Schlingemann and Stulz (2004).

non-stateowned (public) firms' management are more sensitive to market discipline²⁰ and therefore more open to media criticism. We therefore define our experimental variable *Market_tone* as the interaction of *Negative_tone* and *Amount of press coverage* with a non-stateowned status dummy. We use the same control set of acquirer and deal characteristics as in Table 4.

Column (1) of Table 5 presents the effect of media coverage on M&A announcement outcomes in the full sample, 2000-2012. To isolate the effect of the exogenous market power shock from the introduction of SSSR, columns (2) and (3) provide subsample evidence for the pre- and post-Split Share Structure Reform periods, 2000-2007 and 2008-2012 respectively.

[insert Table 5: Can media coverage affect M&A outcomes?]

In column (1) we find full sample evidence consistent with Hypothesis 2. The high significance of the *Market_tone* coefficient on deal outcomes demonstrates the importance of media coverage for non-stateowned firms. This is consistent with an information effect through the financial market, which would primarily affect firms not insulated by state support. This result has economic significance: the effect of a single standard deviation change in *Market_tone* reduces the likelihood of deal completion by 2.77% in absolute magnitude (16.44% magnitude relative to the mean effect). This is also consistent with the positive and significant CAR coefficient in column (1), suggesting that a positive market reaction is linked to successful acquisitions. The effect of the media in disciplining M&A is not universal, however. Table 4 shows that friendly and large relative transaction value deals are covered negatively in the press, but are more likely to succeed as seen in Table 5 column (1).

Due to multicollinearity and interpretability issues with three-way interaction terms in discrete choice models (Moosbrugger, Schermelleh-Engel, Kelava, and Klein, 2009), we perform an alternative estimation which avoids the *Market_tone* triple interaction by directly subsampling on state controlled status in Table A.1 in Appendix C. These alternative results support the main findings in Table 5, as the interaction of *Negative_tone* and *Amount of press coverage* is not a

²⁰ State-owned firms are less sensitive to market discipline due to state capital subsidies, and the managers of state-owned firms are protected from discipline through the managerial labor market (Fan, Wong and Zhang, 2007).

significant determinant of deal completion in Table A.1 Panel A (state-owned firms) but is significant at the 1% level in Panel B (non-state-owned firms).

If press coverage affects M&A deal outcomes through the financial market channel, we should expect most of the media tone effect to occur after 2007, after SSSR is complete. We report the pre-SSSR 2000-2007 subsample in column (2) of Table 5, and the post-SSSR 2008-2012 results in column (3).²¹ Further supporting Hypothesis 2, we find that in the pre-SSSR sample in column (2) neither *Market_tone* nor CAR has a statistically or economically significant effect on M&A deal outcomes. This suggests that prior to the majority of shares becoming tradable through SSSR, market discipline of Chinese M&A was weak. The post-SSSR subsample in column (3) further confirms Hypothesis 2, with 1% significance and larger magnitude effects on *Market_tone* and CAR, and a higher R-square than in the overall sample in column (1). The economic significance of a single standard deviation change in *Market_tone* on the likelihood of deal completion falls by 3.36% in absolute magnitude (19.96% relative magnitude). The stronger effect of CAR is also consistent with a shock to market power in disciplining M&A post-SSSR.

In unreported findings we repeat these estimations using the interaction of *Negative_tone* and *Amount of press coverage* regardless of state ownership status and find no statistically or economically significant effect. This further corroborates Hypothesis 2 of media-induced market pressure since the government-funded firms added to the test sample should be insulated from media and market effects (Fan, Wong and Zhang, 2007).

We next take a subsample of media coverage from four major financial newspapers in operation during the entire 2000-2012 sample to identify whether the SSSR shock to market discipline of M&A has made existing media sources more effective tools of market discipline. The CSRC has required that Chinese companies make news disclosures through one of four financial newspapers with the highest readership: *China Securities Journal*, *Shanghai Securities News*, *Securities Times*, and *Securities Daily*. We restrict our tone calculation to the coverage obtained from these four sources, and repeat sample and subsample regressions in columns (1) through (3) to test whether the implementation of SSSR has increased the ability of their coverage to affect Chinese M&A deal outcomes.

²¹ We are forced to exclude *Oversea_deal* from the 2000-2007 subsample in column (2) because only 4 overseas deals occur during that time. Excluding *Oversea_deal* in column (3) for better comparability does not change the significance of the reported coefficients.

Column (4) shows the results for the entire sample in which the four-newspaper version of *Market_tone*, the interaction of amount of coverage with its negativity for non-stateowned firms, has a similarly negative effect on the likelihood of deal completion as the version of *Market_tone* for all domestic media in column (1). The result is statistically significant at the 5% level, but the economic significance of a single standard deviation change in *Market_tone* rises to 4.04% in absolute magnitude and 23.98% in relative magnitude. Notably, in the pre-SSSR period subsample reported in column (5), the tone of coverage in the four major newspapers has no statistical or economic effect on deal completion. Finally, in the post-SSSR period in column (6), the four-newspaper version of *Market_tone* is again significant at the 1% level and has the largest economic significance of the subsamples considered. A single standard deviation change in *Market_tone* causes a 5.4% reduction in the likelihood of deal completion in absolute magnitude and 32.21% in relative magnitude.

These results confirm that the introduction of SSSR in the Chinese financial market enabled media tone to affect proposed M&A deal completion through market pressure, and enabled existing media sources to perform their task of corporate governance through informed markets much more effectively.

4.4 Does media coverage predict long-term performance after M&A?

Finding results consistent with the tone of media coverage affecting firms' M&A decisions through the financial markets, we further examine this relationship by studying whether the Chinese newspapers convey useful information to the financial market. If newspaper coverage encourages the increasingly liberalized Chinese financial market to discipline managers of public, but non-stateowned, acquirer firms, the newspaper coverage should be accurate in predicting long-term firm performance.

We focus on change in ROA as a measure of long-term performance post-acquisition, and create a performance-adjusted three-year average ROA by matching acquirer firms with similarly performing peers a year ahead of the acquisition following Wang and Xie (2009). To mitigate noise introduced by a single-firm matching, we also report results using an ROA adjusted by the acquirer's industry median instead. Wang and Xie (2009) find that US acquirers outperform the industry prior to making acquisitions, recommending the performance-adjusted ROA approach.

We therefore begin by examining this issue with Chinese acquirer performance relative to peer firms and the industry. Table 6 presents tests of the long-term performance of Chinese acquirers with both adjustment approaches.

[insert Table 6: Univariate test of differences between acquirers and benchmarks]

Table 6 shows that Chinese acquirers outperform both the peer firm and industry benchmarks three years ahead of the acquisition announcement, but there is very little abnormal performance in the subsequent three years in both cases. Three years before an M&A announcement, the acquirer firms have an average ROA of 5.67% compared with 3.12% for their peers and 3.85% for their industries. This gap shrinks the following year, and is eliminated in the year prior to announcement for peer firms by construction, and is only significant at 10% for the industry. In the three post-announcement years the acquirer firms' ROAs and their peer and industry benchmarks all average around 4% with only one 10% significant difference for the peer firm benchmark in the second post-announcement year. This pattern of relative performance suggests that both peer- and industry-adjusted ROAs should be valid benchmarks. These results are also consistent with Wang and Xie (2009) in that Chinese acquirers outperform both benchmarks in pre-announcement years.

We now turn to the predictive power of newspaper coverage for the change in benchmark-adjusted acquirer ROA from the pre-announcement year to the three post-announcement years. This reduces our sample to 515 acquisition attempts that occurred three or more years prior to 2012, our final sample year. We regress our outcome variable, the change in benchmark-adjusted ROA between the pre-announcement year and the post-announcement three-year average, on standard deal and acquirer characteristic controls as in the previous tables. Our experimental variable is the tone of media coverage, the interaction of *Negative_tone* and *Amount of press coverage* following Liu and McConnell (2013).²² Table 7 presents the determinants of long-term performance of Chinese acquirers.

²² For the long-term predictability study we do not distinguish between stateowned and non-stateowned firms as we did with M&A deal outcomes and the market_tone triple interaction. This is because while public managers may be more susceptible to pressure from media coverage through financial markets, there is no obvious difference between the predictability of performance of a public or stateowned firm.

[insert Table 7: Can media coverage predict long-term performance after M&A?]

We find evidence consistent with Hypothesis 3: the interaction of negative tone and amount of press coverage is a significant predictor of changes in both performance-adjusted and industry-adjusted ROA at 10% and 5% respectively, reducing change in both benchmarked ROAs by 0.0327 and 0.0310 per unit of interaction in both cases. Controlling for tone, the amount of coverage is larger for better-performing deals with each additional published article increasing change in performance-adjusted ROA by 0.33% and industry-adjusted ROA by 0.31%, significant at 10% and 5% respectively. Acquirer size lowers performance-adjusted ROA by 1% and industry-adjusted ROA by 1.7% for each 1% increase in size, consistent with findings in the US data (e.g. Moeller, Schlingemann and Stulz, 2004). Relative transaction value increases both performance-adjusted and industry-adjusted ROA by 0.67% and 0.61% for each 1% increase in relative transaction value, though this effect is only significant at 10%. This is counter to the tone determinants from Table 4 which found no effect for acquirer size on tone of coverage and a negative effect of relative transaction size, suggesting that the empirical effects of deal characteristics on M&A outcomes are only partially, but significantly, expressed in media coverage.

4.5 Robustness tests

In the previous sections we find support for all three hypotheses about the effect of the political environment in China on the tone and amount of newspaper coverage of Chinese M&A, and the effects of coverage on the developing financial market and managerial behavior around M&A announcements. We now test the robustness of our findings for potential issues of endogeneity, multicollinearity and multiple announcements by the same acquirer.

4.5.1 Endogeneity

Since we find that Chinese newspaper coverage of M&A announcements appears susceptible to political and business pressure, it is possible that our Table 5 findings about the effect of newspaper coverage on deal success are endogenous. If pressure is an important omitted variable, it is possible that the media is only allowed to criticize certain deals which are withdrawn due to

that omitted pressure rather than because of any media effect. To control for this issue, we create instruments for the tone and amount of media coverage of M&A announcements.

Our instrument for *Negative_tone*, the tone of coverage, is *Distance*, a geographic distance measure of the mean proximity of the acquirer's headquarters to the three major Chinese media centers in Beijing, Shanghai and Guangdong. This approach follows the work of Gurun and Butler (2012) and our findings in Table 4, that local firms are more likely to receive positive coverage. We hypothesize that geographic proximity to media centers will reduce *Negative_tone*. However, the location of the firm's headquarters should not have a strong effect on its ability to accomplish an acquisition.

Our instrument for *Amount of press coverage*, the number of articles published about the deal, is *Prior_Amount of press coverage*, the number of newspaper stories published about the acquiring firm in the year ending three months prior to the acquisition announcement. We hypothesize that a larger amount of coverage prior to the acquisition announcement will result in a larger amount of coverage during it. However, the amount of coverage prior to an acquisition announcement should not have an effect on the firm's ability to acquire.

We assume that *Negative_tone* and *Amount of press coverage* are endogenous in deal outcomes, and predict their realizations using our geography-based instrumental variable *Distance* and the prior year's article count *Prior_Amount of press coverage* respectively,²³ as well as the set of control variables for the media from Table 4.

[insert Table 8: Instrumental variable models]

We estimate the first stage of the instrumental regression in columns (1) and (2) of Table 8 for the tone and amount of media coverage respectively. Our *Distance* instrumental variable is significant at the 5% level in predicting *Negative_tone*, with a negative coefficient consistent with our hypothesis. The *Prior_Amount of press coverage* instrumental variable is significant at the 5% level in predicting *Amount of press coverage*, with a positive coefficient consistent with expectations. The second stage logit regression with fitted values of tone and amount of coverage

²³ We also consider other instrumental variables such last year's values of *Negative_tone* for the current value of *Negative_tone*, as well as media experts on the board following Liu and McConnell (2013) and government officials on the board. The lag of *Negative_tone* produces similar results to those reported, but is vulnerable to a time-invariant political or business pressure. The board composition set of instruments is weak in our data.

used to construct an instrumented version of *Market_tone* is presented in column (3). The instrumented *Market_tone* is significant at 5% with a coefficient of -2.4925, similar to the results in Table 5 column (1). This result supports the interpretation that the Table 5 results are robust against endogeneity in media tone and M&A outcomes from an omitted variable representing political or business pressure that would simultaneously scuttle certain deals and cause less favorable coverage for acquirers.

4.5.2 Multicollinearity

A potential issue raised by Liu and McConnell (2013) in their study of US media tone and its effect on M&A is multicollinearity induced by interaction terms. We follow their approach in testing for the degree to which our long-term performance results may be influenced by multicollinearity by demeaning our experimental variables of tone and amount of media coverage. This alternative specification of the models from Tables 5 and 7 is presented in Table 9.

[insert Table 9: Centered regressions]

We use the centered variables to repeat the full sample and pre- and post-SSSR subsamples from columns (1) through (3) of Table 5 in columns (1) through (3) of Table 9. We use the same control variables as before, and suppress the coefficients for brevity. The centered version of *Market_tone* has coefficients of similar magnitude though its full sample significance decreases slightly to the 5% level in column (1) of Table 9 from the 1% level in column (1) of Table 5.

Similarly, we use the centered versions of *Negative_tone* and *Amount of press coverage* to repeat the performance- and industry-adjusted ROA estimates in columns (1) and (2) of Table 7 in columns (4) and (5) of Table 9. We find that the interaction of centered transformations of *Negative_tone* and *Amount of press coverage* explains change in both benchmark-adjusted changes in acquirer ROA with the same significance of 10% and 5% respectively as in Table 7, suggesting that our deal outcome and long-term performance results are not driven by multicollinearity.

4.5.3 Multiple acquisitions

Our sample contains 72 firms (191 observations) that announce acquisitions more than once

per year. The inclusion of the same acquirer firm characteristics multiple times per year could bias our results both in the logit regressions of M&A outcomes and the long-term performance regressions if the same acquirer had either multiple successes or multiple failures. To address that concern, we repeat the regressions in Tables 5 and 7 with only one announcement per acquirer per year. We retain the first announced acquisition per firm per year, and discarding the others following Liu and McConnell (2013). These results are summarized in Table 10.

[insert Table 10: Multiple acquisitions]

Columns (1) through (3) of Table 10 repeat the models in columns (1) through (3) of Table 5 with the exclusion of multiple same-acquirer deals per year. We again suppress control variable coefficients for brevity. In the logit regressions the experimental variable *Market_tone* becomes significant at the 1% level, and the coefficient estimates do not change substantially across the subsamples relative to those in Table 5.

Similarly, columns (4) and (5) of Table 10 repeat the long-term performance regressions forecasting changes in performance- and industry-adjusted ROA reported in columns (1) and (2) of Table 7. The interaction of *Negative_tone* with *Amount of press coverage* in the long-term performance regressions remain significant and similar to the reported full-sample findings. These findings suggest that our results are, if anything, strengthened by the exclusion of repeat acquirers in each year.

5. Conclusions

We add to our understanding of the importance of alternative channels of corporate governance through the media in the developing world. Prior findings by Dyck, Volchkova and Zingales (2008) show that in the case of Russia, which may potentially be extrapolated to other countries with underdeveloped shareholder protections, domestic media has no role to play in alternative channels of corporate governance. In our analysis of Chinese domestic media coverage of 797 proposed M&A deals we do find that domestic newspaper coverage of is a useful tool for corporate governance despite being susceptible to political and business pressure. Politically supported acquisitions receive favorable coverage, consistent with the significant degree of government control still exercised on domestic Chinese media. So do acquisitions by

locally significant acquirers, as measured by the ratio of sales to province GDP, when covered by local newspapers consistent with the findings of Gurun and Butler (2012) and the importance that business advertising plays in the developing Chinese media (Winfield and Peng, 2005; Zhao, 2005).

However, we also find that media coverage can influence the outcomes of certain proposed M&A deals. Specifically, more negative tone in the domestic coverage coupled with a larger number of articles can cause non-stateowned firms to abandon acquisition attempts. This effect does not hold for stateowned firms, which are insulated from financial market discipline in terms of reduced capital market access, lower controlling shareholder values, and impaired managerial job market opportunities induced by exposure of misbehavior in the media (Fan, Wong and Zhang, 2007).

This governance ability of the domestic media develops only after the Split Share Structure Reform is completed in 2007, empowering market discipline by making a majority of previously untradeable shares marked to market for the first time and thereby forcing controlling shareholders to fully internalize the costs of poor corporate governance (Li et al., 2011; Liao et al., 2014). This effect is consistent with a watchdog role of the media in informing the financial market about potential value destruction in M&A.

This result is further corroborated by our finding of significant explanatory power of media coverage of M&A announcements on the acquirer's long-term abnormal performance. These results are robust to endogeneity of media coverage in M&A outcomes, collinearity in variables, and the effects of multiple acquisition attempts by the same firm per year.

Our findings paint a more encouraging picture of the relationship between media and corporate governance in China than Dyck et. al. (2008) find in the case of Russia, and indicate that further liberalization of both the media and financial markets will improve the governance role that even domestic media can play.

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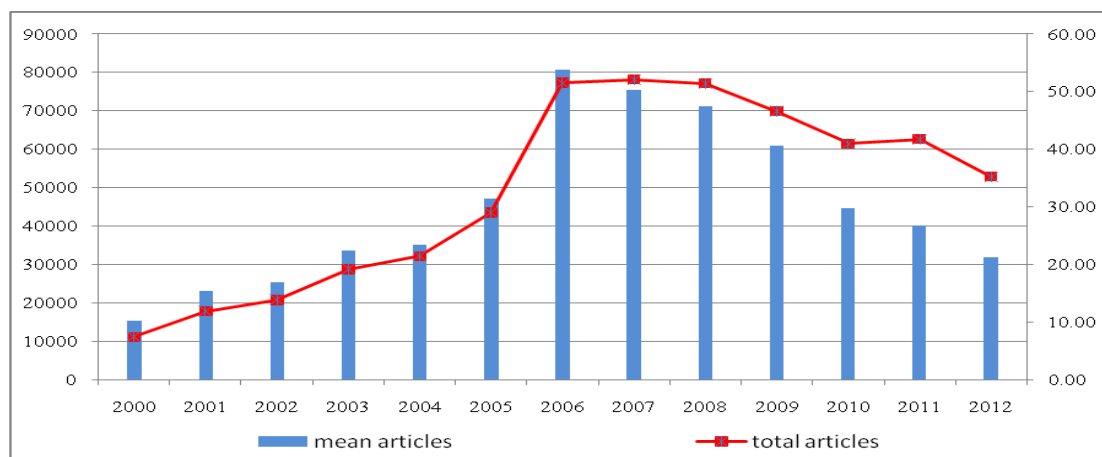


Figure 1: The evolution of M&A coverage during 2000-2012

We use ‘merger’, ‘acquisition’, and ‘merger and acquisition’ as keywords to measure the amount of the M&A media coverage in the China Core Newspaper research database from 2000-2012. The curve, *total articles*, plots the count of financial articles matching our keywords by year and the histogram, *mean articles*, shows the number of matching articles normalized by the number of listed firms in each year.

year	listed companies	total articles	mean articles
2000	1088	11180	10.28
2001	1160	17804	15.35
2002	1224	20762	16.96
2003	1287	28761	22.35
2004	1377	32174	23.37
2005	1381	43486	31.49
2006	1434	77206	53.84
2007	1550	78025	50.34
2008	1625	77045	47.41
2009	1718	69882	40.68
2010	2063	61397	29.76
2011	2342	62529	26.70
2012	2494	52818	21.18

Table 1: Sample distribution by announcement year

Panel A reports the distribution of acquisition across years where the bidder successfully acquired targets or abandon the transaction during the period from 2000 to 2012. Targets are comprised of public, private, and subsidiary firms. The column of panel A represents the number of acquirers throughout the sample period, the percentage of sample by year, deal value(in U.S. million dollar), the market value of the acquirer(in U.S. million dollar) at the fiscal year end prior to an acquisition announcement, and transaction value to acquirer market cap ratio respectively. Panel B reports the distribution of acquisition across macro industries. Columns 2 through 3 of Panel B report the number of bidders and percentage of acquirers in a particular macro industry, respectively. Columns 4 through 5 of Panel B report the number of targets and percentage in a particular macro industry, respectively. All acquirers are publicly traded firms listed on the Shanghai or Shenzhen Stock Exchange.

Panel A: Distribution of acquisition across years					
Year	Number of	Percentage	Mean (median)	Mean(median)acquirer	Mean (median) transaction value
	acquisitions	of sample	Deal value(\$ mil)	market cap (\$ mil)	to acquirer market cap ratio (%)
2000	2	0.25%	13.06 (13.06)	99.16 (99.16)	13.20 (13.20)
2002	7	0.88%	76.06 (29.34)	179.78 (111.01)	74.39 (31.92)
2003	29	3.64%	19.15 (9.07)	107.00 (86.65)	26.59 (12.01)
2004	25	3.14%	17.33 (11.84)	125.35 (94.49)	16.51 (12.35)
2005	26	3.26%	13.56 (8.00)	99.84 (51.72)	16.14 (8.71)
2006	32	4.02%	54.31 (21.35)	104.93 (41.28)	69.11 (33.40)
2007	75	9.41%	82.72 (16.71)	174.47 (76.10)	145.14 (16.39)
2008	120	15.06%	261.56 (37.81)	689.50 (291.96)	79.62 (11.22)
2009	94	11.79%	171.35 (50.10)	275.04 (134.29)	204.34 (25.11)
2010	105	13.17%	262.36 (42.03)	578.39 (330.27)	94.50 (14.39)
2011	151	18.95%	125.21 (22.72)	602.94 (317.50)	29.72 (7.37)
2012	131	16.44%	125.47 (36.32)	329.46 (190.47)	51.87 (14.72)
Total	797	100.00%	150.85 (26.66)	414.38 (190.44)	81.83 (13.21)

Panel B: Distribution of acquisition across industries				
Industry description	Acquirers		Target	
	N	%	N	%
Consumer Products and Services	92	11.54	62	7.78
Energy and Power	56	7.03	68	8.53
Healthcare	80	10.04	71	8.91
High Technology	75	9.41	69	8.66
Manufacturing Industrials	161	20.20	141	17.69
Materials	217	27.23	218	27.35
Media and Entertainment	15	1.88	24	3.01
Real Estate	64	8.03	113	14.18
Retail	26	3.26	19	2.38
Telecommunications	11	1.38	12	1.51

Table 2: Summary statistics

This table reports summary statistics for variables included in our paper from 2000 to 2012. The definitions and calculations of the variables are in Appendix B.

Variable	Obs	Mean	Std.Dev.	Min	Max
CAR	797	0.0559	0.2930	-0.3780	5.8620
Change in performance-adjusted ROA	515	-0.0042	0.1098	-0.6840	0.7030
Change in performance-industry_adjust ROA	515	0.0060	0.1051	-0.3646	0.9284
Amount of press coverage	797	3.7430	7.0330	1	160
Negative_tone	797	0.0972	0.0926	0	0.5556
Market_tone	797	0.1683	0.3957	0	4.9140
Local_media	797	0.0616	0.1836	0	1
Log of (1+articles in local media)	797	0.1454	0.3714	0	2.9957
Completed	797	0.8310	0.3750	0	1
ROA	797	0.0476	0.0733	-0.2940	0.2600
Cash	797	0.6880	0.4640	0	1
Sale/GDP	797	0.3588	1.0739	0	18.2557
Friendly	797	0.8570	0.3500	0	1
Diversifying	797	0.6360	0.4810	0	1
Private	797	0.2660	0.4420	0	1
Subsidiary	797	0.6470	0.4780	0	1
Local deal	797	0.4980	0.5000	0	1
Oversea deal	797	0.0452	0.2080	0	1
Related_party_transaction	797	0.5560	0.4970	0	1
High technology	797	0.0941	0.2920	0	1
State_owned	797	0.4740	0.5000	0	1
Independent_members	797	0.3520	0.0681	0	0.6670
Management_ownership	797	0.0816	0.1840	0	0.7538
Length of the negotiation	797	55.05019	11.7489	9	60
QFII	797	0.1040	0.3060	0	1
Tobin's Q	797	1.8330	1.1710	0.7700	7.9940
Employee	797	4042	7963	9	79927
Sales growth	797	0.2520	0.5640	-0.7670	3.3430
Relative transaction value	797	0.8180	2.3700	0.0011	27.4600
Ln(sales expense)	797	13.6000	1.7570	5.2730	19.9900
Leverage	797	0.4960	0.2700	0.0399	1.8460
Ln(Mkt cap)	797	19.8900	1.1970	16.5300	23.7400
Distance	797	9.2195	5.7987	0	35.0421
Prior_Amount of press coverage	797	90.96487	149.2285	0	2016

Table 3: Univariate test difference between non-merger and merger firms

Differences between firms announcing M&A deals and the remainder of the universe of Chinese firms reporting accounting data to the Wind Financial and Securities database. Test statistics for both the *t*-test and the nonparametric Mann-Whitney test are calculated for the null hypothesis of equality between the two samples of nonmerger and merger firms. Median value of variables are reported in parentheses; ***, ** and * denote significance at 1%, 5% and 10% level respectively.

Variables	Nonmerger (Obs=16219)	Merger (Obs=687)	Difference (T test)	Difference (Mann-Whitney test)
Book asset(million U.S dollar)	3352.9750 (211.8291)	768.2003 (244.9876)	1.2931	-2.32**
Market equity(million U.S dollar)	599.7953 (142.1293)	540.2818 (196.5969)	0.3364	-6.40***
Book equity(million U.S dollar)	524.7255 (110.9062)	312.2728 (126.4616)	1.2985	-2.29**
PP&E/asset	0.2796 (0.2483)	0.2511 (0.2140)	3.9536***	4.29***
Long term debt/asset	0.1504 (0.0806)	0.1464 (0.0762)	0.5715	0.40
Capital expenditure(million U.S dollar)	38.8297 (23.0935)	25.5462 (28.1993)	0.4737	-1.78*
Net income(million U.S dollar)	66.1662 (6.9281)	32.2853 (9.4323)	1.2229	-3.85***
Return on asset	0.0305 (0.0370)	0.0469 (0.0450)	-0.7684	-4.03***
Return on equity	0.0302 (0.0739)	0.0893 (0.0915)	-1.1994	-4.10***
Book/Markt	0.5693 (0.5383)	0.5240 (0.4832)	4.2758***	4.31***
Leverage (book)	0.6349 (0.4859)	0.5504 (0.4946)	0.3047	-0.42
Quick ratio	2.1059 (1.3202)	2.5402 (1.3658)	-2.8147***	-1.43
Current ratio	1.6362 (0.8899)	2.0727 (0.9286)	-3.0711***	-1.69*

Table 4: What factors determine media tone in Chinese M&A?

Regression models of the determinants of the negative tone of domestic media coverage of Chinese M&A. *Negative_tone* is calculated following Tetlock (2007). Acquirer and deal characteristics as control variables are defined in Appendix B. Robust standard errors reported in parentheses; ***, ** and * denote significance at 1%, 5% and 10% level respectively.

Negative_tone	(1)	(2)	(3)	(4)
Constant	0.0590 (0.0497)	0.0500 (0.0755)	0.0626 (0.0511)	0.0949 (0.0782)
CAR	-0.0019 (0.0039)	-0.0081* (0.0049)	-0.0011 (0.0040)	-0.0074 (0.0049)
ROA	0.0120 (0.0352)	0.0543 (0.0400)	0.0146 (0.0354)	0.0596 (0.0403)
Local_media	0.0474** (0.0205)	0.0423** (0.0207)		
Log of (1+articles in local media)			0.0319*** (0.0086)	0.0310*** (0.0089)
Sale/GDP	0.0063** (0.0030)	0.0052 (0.0034)	0.0059* (0.0033)	0.0065* (0.0037)
Local_media×Sale/GDP	-0.0414** (0.0189)	-0.0397** (0.0198)		
Log of (1+articles in local media)×Sale/GDP			-0.0068*** (0.0025)	-0.0070*** (0.0026)
Local_deal	-0.0188*** (0.0057)	-0.0169*** (0.0059)	-0.0189*** (0.0057)	-0.0167*** (0.0059)
Oversea_deal	-0.0309*** (0.0088)	-0.0391*** (0.0101)	-0.0346*** (0.0088)	-0.0415*** (0.0102)
Related_party_transaction		-0.0020 (0.0070)		-0.0022 (0.0070)
Cash		0.0115* (0.0068)		0.0125* (0.0068)
Friendly		0.0217** (0.0091)		0.0217** (0.0091)
Private		-0.0138 (0.0124)		-0.0117 (0.0122)
Relative_transaction_value		0.0019* (0.0011)		0.0016 (0.0011)
Diversifying		0.0101 (0.0063)		0.0099 (0.0063)
Subsidiary		-0.0118 (0.0118)		-0.0094 (0.0118)
High technology		-0.0054 (0.0096)		-0.0064 (0.0096)
State_owned		-0.0040 (0.0070)		-0.0051 (0.0069)
Length of the negotiation		0.0003 (0.0003)		0.0002 (0.0003)
QFII		-0.0113 (0.0082)		-0.0112 (0.0082)
Tobin's Q		-0.0006 (0.0029)		-0.0005 (0.0029)
Leverage		0.0179* (0.0100)		0.0172* (0.0100)
Salesgrowth		-0.0102*** (0.0037)		-0.0102*** (0.0037)
Ln(sale expense)		0.0071*** (0.0027)		0.0067** (0.0026)
Ln(employee)		-0.0046 (0.0029)		-0.0048 (0.0030)
Ln(mktcap)		-0.0037 (0.0038)		-0.0056 (0.0038)
Year and Industry fixed effect	Yes	Yes	Yes	Yes
Observations	797	797	797	797
R ²	0.3143	0.3406	0.3214	0.3470

Table 5: Can media coverage affect outcomes in proposed M&A?

Logit regressions of deal completion on media coverage of M&A announcement. Column (1) reports full sample finding. Columns (2) and (3) report pre- and post-Split Share Structure Reform subperiod estimations respectively. The experimental variable is *Market_tone*, the interaction of *Negative_tone*×*Amount of press coverage* for non-stateowned firms. In columns (4)–(6), we subsample coverage data from four major newspapers by readership (*China Securities Journal*, *Shanghai Securities News*, *Securities Times* and *Securities Daily*) in which listed companies must disclose information according to the CSRC and generate a restricted version of *Market_tone*. Column (4) reports full sample findings, and Columns (5) and (6) report pre- and post-SSSR subperiod estimations respectively. Acquirer and deal characteristics as control variables are defined in Appendix B. Robust standard errors reported in parentheses; ***, ** and * denote significance at 1%, 5% and 10% level respectively.

Deal Completion	(1)	(2)	(3)	(4)	(5)	(6)
Negative_tone	2.3200 (1.6584)	3.4772 (8.6101)	1.8989 (2.0452)	0.1353 (1.5692)	-10.1282** (5.0942)	0.6589 (1.9221)
CAR	4.0267*** (1.1654)	-1.6575 (5.9189)	6.1490*** (1.5814)	3.9465*** (1.1310)	0.7268 (8.0880)	5.9432*** (1.4563)
Amount of press coverage	-0.0203 (0.0322)	-0.0832 (0.1323)	0.0099 (0.0693)	-0.0316 (0.0646)	-0.1745 (0.2780)	0.0154 (0.0839)
Market_tone	-1.1798*** (0.3838)	0.4506 (5.1841)	-1.7173*** (0.6223)	-1.6862** (0.7188)	13.6237 (8.3341)	-2.6177*** (0.9323)
Local_deal	0.2637 (0.2961)	0.7551 (0.6906)	0.1318 (0.3369)	0.2406 (0.2879)	0.2316 (1.1057)	0.1315 (0.3295)
Oversea_deal	-1.3234*** (0.5083)		-1.6881*** (0.5812)	-1.4244*** (0.5115)		-1.7657*** (0.5916)
Related_party_transaction	-0.3702 (0.3212)	0.2683 (1.9359)	-0.5213 (0.3346)	-0.4265 (0.3169)	0.2102 (2.6611)	-0.6041* (0.3289)
Cash	0.1107 (0.3329)	-3.3640*** (1.1975)	0.0940 (0.3540)	0.2219 (0.3323)	-3.2609 (2.1608)	0.2318 (0.3580)
Friendly	0.9119** (0.3710)	0.3385 (1.1506)	0.7856* (0.4599)	0.9477** (0.3764)	-0.1343 (1.2888)	0.8323* (0.4646)
Private	1.2876** (0.6007)	3.8391 (2.6255)	1.1582 (0.7509)	1.2208** (0.5946)	3.9409 (2.8348)	1.0522 (0.7474)
Relative_transaction_value	0.1685*** (0.0589)	0.2971 (0.2543)	0.1622*** (0.0595)	0.1638*** (0.0604)	0.2781 (0.4959)	0.1535** (0.0633)
Diversifying	-0.3954 (0.2721)	-0.7261 (1.1825)	-0.3954 (0.3241)	-0.3690 (0.2708)	-1.1260 (1.0655)	-0.3821 (0.3253)
Subsidiary	1.6160*** (0.5689)	4.6456** (2.1725)	1.5119** (0.7355)	1.4837*** (0.5585)	5.1298* (2.7659)	1.3241* (0.7182)
Hightechnology	-0.1582 (0.5200)	-3.8852 (2.5162)	-0.1873 (0.5960)	-0.1515 (0.5077)	-3.7413 (2.3151)	-0.1808 (0.5786)
Stateowned	-0.3298 (0.3167)	-0.6358 (1.6266)	-0.1396 (0.3989)	-0.2676 (0.3184)	0.4269 (1.4907)	-0.0731 (0.3878)
Independent_members	2.5411 (2.5904)	13.7032* (7.2607)	1.1497 (3.2704)	2.3869 (2.5788)	13.2356* (7.8152)	0.8953 (3.2603)
Management_ownership	1.0933 (0.8660)	10.7660 (10.9821)	1.8668* (1.0492)	1.0212 (0.8387)	12.8311 (12.8520)	1.7553* (1.0180)
Length of the negotiation	-0.0197 (0.0141)	0.0279 (0.0297)	-0.0469*** (0.0141)	-0.0198 (0.0140)	0.0304 (0.0509)	-0.0462*** (0.0139)
QFII	-0.1849 (0.5244)	-0.9908 (1.9925)	0.4023 (0.7107)	-0.1901 (0.5292)	-0.9136 (2.2230)	0.3331 (0.6902)
Tobin's Q	-0.1238 (0.1209)	-2.9353 (1.8571)	-0.0067 (0.1444)	-0.1435 (0.1145)	-3.6349 (2.3276)	-0.0330 (0.1353)
Leverage	-0.1394 (0.4916)	5.6641* (3.0056)	-0.5523 (0.6561)	0.0328 (0.4884)	7.0403* (3.7166)	-0.3010 (0.6542)
Salesgrowth	-0.1305 (0.2148)	1.1710 (1.4520)	-0.4772 (0.2991)	-0.1598 (0.2149)	1.6340 (1.7407)	-0.5111* (0.2897)
Ln(mktcap)	2.2406*** (0.2321)	4.8433*** (1.7347)	2.3695*** (0.2815)	2.1490*** (0.2265)	5.3514** (2.0879)	2.2406*** (0.2726)
Constant	Yes	Yes	Yes	Yes	Yes	Yes
Year and Industry fixed effect	Yes	Yes	Yes	Yes	Yes	Yes
Observations	724	196	571	724	196	571
Pseudo R ²	0.4124	0.6377	0.4706	0.4063	0.6469	0.4627

Table 6: Univariate test of differences between acquirers and benchmark firms

We create two benchmarks for abnormal acquirer performance: matched in the same industry, and the industry median. We match nonmerger firms by ROA in the same three-digit SIC code in the year prior to the acquisition announcement for the former benchmark. For the latter, we use the median of industry's ROA by three-digit SIC code. We report the results of T test and Mann-Whitney test for the null hypothesis that the difference between the acquirers' and matched firms' ROA equals zero and the difference between the acquirers' and median industry's ROA equals zero. Median value are reported in parentheses; ***, ** and * denote significance at 1%, 5% and 10% level respectively.

Year	Acquirers	Matched firms	Industry	Diff(T test)	Diff(Mann-Whitney)	Diff(T test)	Diff(Mann-Whitney)
	(1)	(2)	(3)	(1)-(2)	test(1)-(2)	(1)-(3)	test(1)-(3)
-3	0.0567 (0.0506)	0.0312 (0.0231)	0.0385 (0.0320)	3.8332***	8.42***	3.4439***	8.04***
-2	0.0506 (0.0468)	0.0409 (0.0318)	0.0423 (0.0403)	1.5951	5.98***	1.6588*	5.09***
-1	0.0481 (0.0458)	0.0474 (0.0455)	0.0457 (0.0432)	1.3643	1.03	0.7481	1.85*
0	0.0533 (0.0404)	0.0464 (0.0409)	0.0452 (0.0425)	0.8680	-0.19	1.1165	0.31
+1	0.0459 (0.0406)	0.0475 (0.0384)	0.0427 (0.0405)	-0.3594	-0.26	0.9230	1.40
+2	0.0475 (0.0354)	0.0410 (0.0365)	0.0420 (0.0405)	1.4700	1.72*	1.6230	0.75
+3	0.0438 (0.0358)	0.0468 (0.0363)	0.0419 (0.0403)	-0.6002	-0.11	0.6625	-0.73

Table 7: Can media coverage predict long-term performance after M&A?

We track each acquisition for 3 years after its completion. For each year, we calculate the average ROA of the acquirer's control firm and median ROA of industry, and subtract it from the merged company's ROA. We then compute the 3-year average of the resultant performance_adjusted ROAs and performance_industry_adjusted ROAs, and denote it as Post_adj_ROA and Post_industry_adj_ROA. We define the operating performance change of the combined company as the difference between Pre_adj_ROA and Prior_adj_ROA, and Post_industry_adj_ROA and Post_industry_adj_ROA, denoted as change in performance-adjusted ROA and Change in performance_industry_adjusted ROA which is the dependent variable in the logit regression. Robust standard errors reported in parentheses; ***, ** and * denote significance at 1%, 5% and 10% level respectively.

Independent variables	Change in performance-adjusted ROA	Change in performance industry adjusted ROA
Negative_tone	-0.0005 (0.0721)	0.0580 (0.0497)
CAR	-0.0178 (0.0296)	-0.0346** (0.0172)
Amount of press coverage	0.0033* (0.0019)	0.0031** (0.0013)
Negative_tone×Amount of press coverage	-0.0327* (0.0182)	-0.0310** (0.0133)
Local_deal	0.0142 (0.0099)	-0.0121* (0.0068)
Oversea_deal	0.0255 (0.0290)	-0.0010 (0.0248)
Related_party_transaction	0.0170 (0.0122)	0.0182** (0.0079)
Cash	0.0046 (0.0125)	-0.0060 (0.0096)
Friendly	0.0037 (0.0130)	0.0111 (0.0083)
Private	-0.0007 (0.0194)	0.0173 (0.0138)
Relative_transaction_value	0.0067* (0.0035)	0.0061* (0.0032)
Diversifying	0.0026 (0.0098)	-0.0007 (0.0075)
Subsidiary	0.0118 (0.0162)	0.0126 (0.0111)
Hightechnology	0.0169 (0.0347)	0.0099 (0.0218)
Stateowned	-0.0095 (0.0135)	0.0148 (0.0104)
Independent_members	-0.1184 (0.1023)	-0.0885 (0.0817)
Management_ownership	-0.0006 (0.0457)	0.0201 (0.0351)
QFII	-0.0193 (0.0139)	-0.0192* (0.0102)
Tobin's Q	0.0086 (0.0072)	0.0192*** (0.0061)
Leverage	0.0713* (0.0365)	0.1926*** (0.0340)
Salesgrowth	0.0121 (0.0083)	0.0005 (0.0071)
Ln(mktcap)	-0.0095* (0.0055)	-0.0168*** (0.0041)
Constant	Yes	Yes
Year and Industry fixed effect	Yes	Yes
Observations	515	515
R ²	0.1793	0.4806

Table 8: Instrumental variable models

We assume that *Negative_tone* and *Amount of press coverage* are endogenous variables. In the first stage regression, we get the predicted values of *Negative_tone* and *Amount of press coverage* from OLS regressions (column 1 and column 2) respectively. Then we use the predicted values of *Negative_tone* and *Amount of press coverage* to generate an instrumented version of the interaction term (*Market_tone*). Column 3 reports the results of the second stage regression. Standard errors reported in parentheses; ***, ** and ** denote significance at 1%, 5% and 10% level respectively.

Independent variables	(1)	(2)	(3)
	Negative_tone	Amount of press coverage	Completed
Distance	-0.0010** (0.0005)		
Prior_Amount of press coverage		0.0042** (0.0018)	
Negative_tone			-14.0135 (25.3363)
Amount of press coverage			-1.0353*** (0.2379)
CAR	-0.0073 (0.0103)	0.7301 (0.8705)	4.3101*** (1.1171)
Market_tone			-2.4925** (1.0366)
Local_deal	-0.0160*** (0.0060)	-0.2998 (0.5097)	-0.3510 (0.4948)
Oversea_deal	-0.0373** (0.0145)	-0.8245 (1.2369)	-2.8713** (1.1967)
Related_party_transaction	-0.0035 (0.0071)	-0.3400 (0.5975)	-0.7516** (0.3613)
Cash	0.0113 (0.0073)	-2.1104*** (0.6222)	-1.8708*** (0.6903)
Friendly	0.0198** (0.0085)	0.2095 (0.7196)	1.7088*** (0.6128)
Private	-0.0190 (0.0118)	-4.4650*** (1.0050)	-4.0711*** (1.2334)
Relative_transaction_value	0.0012 (0.0014)	0.2539** (0.1192)	0.5091*** (0.1066)
Diversifying	0.0093 (0.0063)	-0.2277 (0.5345)	-0.4486 (0.3767)
Subsidiary	-0.0164 (0.0108)	-4.5182*** (0.9196)	-3.8223*** (1.2216)
Hightechnology	-0.0044 (0.0123)	0.3163 (1.0369)	0.1510 (0.5539)
State_owned	-0.0041 (0.0069)	0.2877 (0.5836)	-0.3703 (0.4926)
Independent_members	-0.0438 (0.0429)	-1.7741 (3.6253)	-0.5635 (2.7555)
Management_ownership	-0.0067 (0.0200)	-0.9723 (1.6868)	-0.0072 (1.0241)
Length of the negotiation	0.0003 (0.0003)	0.0311 (0.0213)	0.0149 (0.0165)
QFII	-0.0107 (0.0097)	-0.5198 (0.8246)	-0.8323 (0.5619)
Tobin's Q	-0.0006 (0.0026)	-0.2834 (0.2213)	-0.5199*** (0.1415)
Leverage	0.0145 (0.0126)	1.0119 (1.0621)	1.3923** (0.6590)
Salesgrowth	-0.0089* (0.0051)	0.5868 (0.4332)	0.4245 (0.3893)
Ln(mktcap)	0.0003 (0.0029)	1.2181*** (0.2598)	3.9084*** (0.4846)
Constant	Yes	Yes	Yes
Year fixed effect	No	No	Yes
Industry fixed effect	Yes	Yes	Yes
Observations	797	797	724
Pseudo (Adjusted-)R ²	0.2726	0.0962	0.4015

Table 9: Centered regressions

We center the key variables (*Negative_tone* and *Amount of press coverage*) before interacting them (*Negative_tone*×*Amount of press coverage* and *Market_tone*). We test the effect of centered versions of media coverage on non-stateowned firm outcomes in proposed M&A in columns (1) through (3). Column (1) reports full sample finding. Columns (2) and (3) report pre- and post-Split Share Structure Reform subperiod estimations respectively. In columns (4) and (5), we test the ability of centered media coverage for all firms to predict change in performance-adjusted ROA and change in industry-adjusted ROA respectively. In the logit regressions in columns (1) through (3) and the OLS regressions in columns (4) and (5), the control variables are same as in Table 5 and Table 7 respectively. Robust standard errors reported in parentheses; ***, ** and * denote significance at 1%, 5% and 10% level respectively.

Independent variables	Deal Completion			Long-term performance	
	(1)	(2)	(3)	(4)	(5)
Negative_tone	-0.6489 (1.5655)	-0.4220 (6.5354)	-2.1364 (2.1710)	-0.1229* (0.0690)	-0.0580 (0.0446)
CAR	3.6272*** (1.1047)	1.6644 (7.8356)	5.3264*** (1.3643)	-0.0178 (0.0296)	-0.0346** (0.0172)
Amount of press coverage	-0.0394*** (0.0116)	0.0034 (0.1890)	-0.0713* (0.0408)	0.0001 (0.0004)	0.0001 (0.0003)
Negative_tone×Amount of press coverage				-0.0327* (0.0182)	-0.0310** (0.0133)
Market_tone	-1.7301** (0.7199)	-6.3627 (6.5817)	-2.0669** (0.9471)		
Control variables	Yes	Yes	Yes	Yes	Yes
Constant	Yes	Yes	Yes	Yes	Yes
Year and Industry fixed effect	Yes	Yes	Yes	Yes	Yes
Observations	724	196	571	515	515
Pseudo R ² (R ²)	0.4064	0.6578	0.4619	0.1793	0.4806

Table 10: Multiple acquirers

We include only the first acquisition attempt per acquirer per year following Liu and McConnell (2013), and re-estimate the deal completion and long-term performance regressions from Tables 5 and 7 respectively with the multiple-acquirer exclusion. Column (1) reports full sample finding for deal completion. Columns (2) and (3) report pre- and post-SSSR subperiod estimations respectively. In columns (4) and (5), we test the ability of centered media coverage for all firms to predict change in performance-adjusted ROA and change in industry-adjusted ROA respectively. In the logit regressions in columns (1) through (3) and the OLS regressions in columns (4) and (5), the control variables are same as in Table 5 and Table 7 respectively. Robust standard errors reported in parentheses; ***, ** and ** denote significance at 1%, 5% and 10% level respectively.

Independent variables	Deal Completion			Long-term performance	
	(1)	(2)	(3)	(4)	(5)
Negative_tone	1.5331 (1.7436)	2.5692 (10.5118)	0.2477 (2.0741)	-0.0192 (0.0762)	0.0410 (0.0535)
CAR	4.8169*** (1.2966)	-1.2364 (5.7534)	6.6059*** (1.6534)	-0.0180 (0.0306)	-0.0372** (0.0177)
Amount of press coverage	-0.0356** (0.0142)	-0.0014 (0.2649)	-0.0305 (0.0569)	0.0034* (0.0019)	0.0030** (0.0014)
Negative_tone×Amount of press coverage				-0.0327* (0.0181)	-0.0292** (0.0138)
Market_tone	-1.2727*** (0.3679)	-0.5748 (2.0066)	-1.5803*** (0.5560)		
Control variables	Yes	Yes	Yes	Yes	Yes
Constant	Yes	Yes	Yes	Yes	Yes
Year and Industry fixed effect	Yes	Yes	Yes	Yes	Yes
Observations	618	174	483	447	447
Pseudo R ² (R ²)	0.4100	0.6267	0.4544	0.1868	0.4976

Appendix A. M&A Deal Screening Criteria

- (1) The acquirer is a public firm with A shares listed on the Shanghai or Shenzhen Stock Exchanges
- (2) The acquisition is either completed or withdrawn (excludes intent withdrawn, rumor withdrawn, and seeking buyer withdrawn).
- (3) The bidder owns more than 50% of the target after the transaction or, in the case of withdrawn acquisitions, made a failed bid to control more than 50% of the target.
- (4) The deal value reported in SDC is more than \$1 million.
- (5) The acquirer and target firm are not in the financial services or utilities industries.
- (6) The acquirer disclosed either the Date Effective or Date Withdrawn as appropriate.

Appendix B. Description of variables

Variable	Definitions
Panel A: short-term return, long-term return and Amount of press coverage	
CAR	The five-day cumulative abnormal return around the announcement calculated using the modified market model (Brown and Warner, 1985). We obtain the return data from the China Stock Market and Accounting Research database.
Change in performance-adjusted ROA	For the fiscal year prior to each merger, we first identify a matched control company by ROA with the same three-digit SIC code according to the CSRC Industry Classification Guidance of the Listed. Companies. We then compute the 3-year average of the resultant performance-adjusted ROAs, and denote it as Post_adj_ROA. We define the operating performance change of the combined company as the difference between Post_adj_ROA and Pre_adj_ROA, denoted as change in performance-adjusted ROA. We obtain accounting data from the Wind Financial and Securities database.
Change in performance-industry_adj ROA	For each merger, we first identify the median ROA of each three-digit SIC code industry according to the CSRC Industry Classification. We then create a 3-year average of sample ROA minus 3-year average of median industry ROA before and after M&A, and denote it as Pre_industry-adj_ROA and Post_industry-adj_ROA respectively. We define the Change in performance-industry_adj ROA as the difference between Post_industry-adj_ROA and Pre_industry-adj_ROA. We obtain data from the Wind Financial and Securities database.
Negative_tone	We use the ROSTCM6 text mining software with a negative and positive Chinese dictionary to assess the tone of media coverage in each article as the fraction of negative words to total word count. We then calculate the average negative tone of media coverage for each deal. We obtain the media data from the China Core Newspaper database.
Amount of press coverage	The Amount of press coverage is the count of acquirer-specific news reported by the domestic Chinese media from the announcement date to min (60, date effective/date withdrawn). We obtain the media data from the China Core Newspaper database.
Market_tone	The interaction term of Negative_tone*Amount of press coverage for non-stateowned firms. Zero for state-owned firms.
Local_media	Local_media is the proportion of local media coverage to total coverage. The listed companies must disclose information in one of four newspapers designed by CSRC, <i>China Securities Journal</i> , <i>Shanghai Securities News</i> , <i>Securities Times</i> and <i>Securities Daily</i> , so we exclude these four sources from local media. We obtain media data from the China Core Newspaper database.

Log of (1+articles in local media)	The log transform of the number of articles in local media not including <i>China Securities Journal</i> , <i>Shanghai Securities News</i> , <i>Securities Times</i> and <i>Securities Daily</i> . We obtain media data from the China Core Newspaper database.
Panel B: deal characteristics	
Completed	Dummy variable: one for successfully completed a transaction, zero for withdrawn transactions. We obtain merger data from the Thomson Financial SDC Platinum Merger and Acquisition Database.
ROA	Net income divided by total book assets at the fiscal year end prior to acquisition announcement. We obtain accounting data from the Wind Financial and Securities database.
Sale/GDP	Sales revenue of the acquirer at the fiscal year end prior to an acquisition announcement divided by the GDP of the province in which the acquirer's headquarter is located, in percent. We obtain accounting data from the Wind Financial and Securities database.
Cash	Dummy variable: one for all-cash deals, zero otherwise. We obtain merger data from the Thomson Financial SDC Platinum Merger and Acquisition Database.
Diversifying	Dummy variable: one if bidder and target are in the same macro industry, zero otherwise. We obtain the data from the Thomson Financial SDC Platinum Merger and Acquisition Database.
Friendly	Dummy variable: one if a bid is friendly, zero otherwise. We obtain the data the Thomson Financial SDC Platinum Merger and Acquisition Database.
Private	Dummy variable: one if the target is a private firm, zero otherwise. We obtain the data from the Thomson Financial SDC Platinum Merger and Acquisition Database.
Subsidiary	Dummy variable: one if target is a subsidiary firm, zero otherwise. We obtain the data from the Thomson Financial SDC Platinum Merger and Acquisition Database.
Local_deal	Dummy variable: one if acquirer and target are in the same province, zero otherwise. We obtain geographic data for the acquirer's headquarters from the Wind Financial and Securities database and manually collect target geographic data.
Oversea_deal	Dummy variable: one if target is a foreign firm, zero otherwise. We obtain the data from Thomson Financial Platinum Merger and Acquisition Database and manually verify.
Related-party transaction	Dummy variable: one if the acquisition is a related-party transaction, zero otherwise. We obtain the data from Thomson Financial Platinum Merger and Acquisition Database and manually verify.
Panel C: bidder characteristics	
High technology	Dummy variable: one if bidder is from the high-tech sector, zero otherwise. We obtain the data from the Thomson Financial SDC Platinum Merger and Acquisition Database.
State_owned	Dummy variable: one for state-owned acquirer status at the fiscal year end prior to an acquisition announcement, zero otherwise. We obtain ownership data from the Sinofin Economic and Financial database.
Independent_members	The proportion of independent directors on the board at the fiscal year end prior to an acquisition announcement. We obtain board data from the China Stock Market and Accounting Research database.
Management_ownership	The proportion of the acquiring firm owned by managers and board members at the fiscal year end prior to an acquisition announcement. We obtain the data from the China Stock Market and Accounting Research (CSMAR) database.
Length of the negotiation	The length of the negotiation period. We obtain the data from the Thomson Financial SDC Platinum Merger and Acquisition Database.
QFII	Dummy variable: one if Qualified Foreign Institutional Investors had a stake in the acquirer at the fiscal year end prior to an acquisition announcement, zero otherwise. We obtain the data from the Wind Financial and Securities database.

Tobin's Q	Market value over book value of assets at the fiscal year end prior to an acquisition announcement. We obtain the data from the China Stock Market and Accounting Research database.
Ln(Sales expense)	The log of sales expense (millions USD) of the acquirer at the fiscal year end prior to an acquisition announcement. We obtain the data from the Wind Financial and Securities database.
Relative transaction value	The fraction of transaction value to acquirer market value at the fiscal year end prior to an acquisition announcement. We obtain the data from the Thomson Financial SDC Platinum Merger and Acquisition Database and the Wind Financial and Securities database.
Employee	The number of employees of the acquirer at the fiscal year end prior to an acquisition announcement. We obtain the data from the Wind Financial and Securities database.
Sales growth	The sales growth of the acquirer at the fiscal year end prior to an acquisition announcement. We obtain the data from the Wind Financial and Securities database.
Leverage	Book value of debts over book value of total assets at the fiscal year end prior to an acquisition announcement. We obtain the data from the Wind Financial and Securities database.
Ln(Mkt cap)	The log of market value (millions USD) of the acquirer at the fiscal year end prior to an acquisition announcement. We obtain the data from the Wind Financial and Securities database.
Distance	The mean distance in kilometers between the location of acquirer's headquarter and media centers in China (Beijing, Shanghai and Guangdong) divided by 100. If the acquirer's headquarter is in Beijing, Shanghai or Guangdong, then the mean distance is zero. We get the latitude and longitude data of location of acquirer's headquarters from National Fundamental Geographic Information System.
Prior_Amount of press coverage	The 12-month count of media articles about the acquirer, ending three months before announcement. We obtain these data from the China Core Newspaper database.

Appendix C. Alternative Robustness Results

Table A.1: Can media coverage affect outcomes in proposed M&A?

Logit regressions of deal completion on media coverage of M&A announcement. This table repeats the estimation in Table 5 but breaks up the sample into state-owned and non-state-owned firms to avoid multicollinearity issues with triple interactions. Columns (1) through (3) and (7) through (9) use the entire sample of media tones, and columns (4) through (6) and (10) through (12) use the tone from four major Chinese newspapers. Robust standard errors reported in parentheses; ***, ** and * denote significance at 1%, 5% and 10% level respectively.

Panel A: Deal completion in state-owned firms						
	(1)	(2)	(3)	(4)	(5)	(6)
Negative_tone	3.3719 (3.9601)		-1.5690 (5.3558)	0.9911 (3.3918)		-1.9579 (5.0034)
Amount of press coverage		-0.0203 (0.0261)	-0.2522 (0.1729)		-0.1374 (0.0900)	-0.3729 (0.2300)
Negative_tone*Amount of press coverage			0.0235 (0.0175)			2.4558 (2.4004)
CAR	6.7288*** (2.2008)	6.3710*** (2.1339)	7.2847*** (2.2611)	6.5147*** (2.1698)	6.3124*** (2.1283)	6.6202*** (2.1655)
Local_deal	0.6568 (0.5533)	0.5872 (0.5419)	0.7628 (0.5741)	0.5788 (0.5442)	0.6745 (0.5492)	0.8133 (0.5679)
Oversea_deal	-1.6752 (1.1185)	-1.7961 (1.1110)	-1.6168 (1.1365)	-1.7865 (1.1064)	-1.7617 (1.1030)	-1.5518 (1.1336)
Related_party_transaction	-0.9884 (0.6245)	-0.9760 (0.6182)	-0.9946 (0.6455)	-0.9513 (0.6146)	-0.9610 (0.6188)	-1.0239 (0.6359)
Cash	0.0606 (0.6922)	-0.0520 (0.6991)	0.0552 (0.7236)	0.0095 (0.6895)	-0.1220 (0.7030)	-0.0159 (0.7220)
Friendly	0.0244 (0.6737)	0.0348 (0.6738)	0.1511 (0.6791)	0.0109 (0.6716)	0.1182 (0.6801)	0.1896 (0.6846)
Private	1.1873 (0.9116)	1.1769 (0.9243)	1.2705 (0.9393)	1.2192 (0.9148)	1.1738 (0.9300)	1.0763 (0.9353)
Relative_transaction_value	-0.2086 (0.2084)	-0.2117 (0.2111)	-0.2520 (0.2098)	-0.2174 (0.2100)	-0.2199 (0.2123)	-0.2243 (0.2088)
Diversifying	-1.0514* (0.5525)	-1.0433* (0.5553)	-1.1012** (0.5610)	-1.0414* (0.5535)	-1.0955* (0.5641)	-1.0940* (0.5633)
Subsidiary	2.4375*** (0.8580)	2.4475*** (0.8643)	2.6002*** (0.8929)	2.4915*** (0.8589)	2.3678*** (0.8703)	2.3183*** (0.8762)
Hightechnology	1.9283 (1.3998)	1.9050 (1.3921)	2.0249 (1.4111)	1.9046 (1.4026)	1.9808 (1.4018)	1.7437 (1.3945)
Independent_members	9.0214* (5.2420)	8.3444 (5.2019)	10.0350* (5.4830)	8.4986 (5.2102)	8.2862 (5.1670)	9.2311* (5.3307)
Management_ownership	-7.8895 (14.8377)	-7.2388 (15.6296)	-8.1077 (15.6824)	-6.5700 (15.7469)	-8.4398 (15.4742)	-8.2426 (15.5025)
Length of the negotiation	0.0084 (0.0240)	0.0073 (0.0239)	0.0075 (0.0250)	0.0089 (0.0240)	0.0035 (0.0245)	0.0027 (0.0249)
QFII	-0.3076 (0.8058)	-0.3801 (0.8070)	-0.3544 (0.8276)	-0.3154 (0.7982)	-0.4779 (0.8224)	-0.5050 (0.8441)
Tobin's Q	0.1945 (0.3700)	0.1122 (0.3532)	0.2297 (0.3834)	0.1420 (0.3606)	0.1206 (0.3591)	0.1682 (0.3729)
Leverage	0.4971 (1.2416)	0.5608 (1.2377)	0.4239 (1.2744)	0.5274 (1.2356)	0.6106 (1.2456)	0.4345 (1.2676)
Salesgrowth	-0.3738 (0.6125)	-0.3757 (0.6142)	-0.2336 (0.6417)	-0.4238 (0.6096)	-0.3432 (0.6062)	-0.2310 (0.6166)
Ln(mktcap)	2.2340*** (0.3973)	2.2659*** (0.4083)	2.3280*** (0.4266)	2.2083*** (0.3925)	2.3576*** (0.4196)	2.3665*** (0.4285)
Constant	Yes	Yes	Yes	Yes	Yes	Yes
Year and Industry fixed effect	Yes	Yes	Yes	Yes	Yes	Yes
Observations	292	292	295	292	292	292

Pseudo R ²	0.4643	0.4628	0.4749	0.4617	0.4687	0.4743
Panel B: Deal completion in non-state-owned firms						
	(7)	(8)	(9)	(10)	(11)	(12)
Negative_tone	-1.2767 (3.1239)		5.2798 (4.2572)	-4.6087 (2.9520)		5.2170 (4.6846)
Amount of press coverage		-0.2278*** (0.0724)	0.1114 (0.1530)		-0.2520** (0.1202)	0.2957 (0.2116)
Negative_tone*Amount of press coverage			-0.0283*** (0.0107)			-5.9936*** (1.9040)
CAR	5.4001*** (1.7606)	6.5218*** (1.8334)	7.5270*** (2.0624)	5.6793*** (1.8015)	6.2281*** (1.8286)	7.5087*** (2.0210)
Local_deal	0.1684 (0.4379)	0.1311 (0.4542)	0.0782 (0.4689)	0.1059 (0.4423)	0.1812 (0.4413)	0.0328 (0.4639)
Oversea_deal	-0.8465 (0.9778)	-0.7749 (0.9979)	-0.7864 (1.0222)	-1.0436 (0.9938)	-0.8517 (0.9697)	-0.8489 (1.0312)
Related_party_transaction	-0.5494 (0.5836)	-0.6315 (0.6226)	-0.6472 (0.6405)	-0.6265 (0.5887)	-0.6390 (0.5985)	-0.7964 (0.6373)
Cash	0.5518 (0.5717)	0.0775 (0.5992)	0.2394 (0.6314)	0.6474 (0.5838)	0.3067 (0.5781)	0.6031 (0.6430)
Friendly	2.5706*** (0.7394)	2.3249*** (0.7813)	2.5474*** (0.8363)	2.6151*** (0.7388)	2.5353*** (0.7576)	2.7852*** (0.8257)
Private	2.2635** (1.0092)	2.8834*** (1.1193)	2.9539*** (1.1404)	2.1497** (1.0166)	2.4242** (1.0353)	2.2062** (1.0853)
Relative_transaction_value	0.2174* (0.1128)	0.2942** (0.1303)	0.2890** (0.1375)	0.2219* (0.1148)	0.2581** (0.1173)	0.2701** (0.1307)
Diversifying	-0.4807 (0.4699)	-0.4706 (0.4893)	-0.3255 (0.5063)	-0.4010 (0.4776)	-0.4236 (0.4784)	-0.2264 (0.5118)
Subsidiary	2.2689** (0.9575)	2.8333*** (1.0646)	2.9515*** (1.0906)	2.1099** (0.9665)	2.3059** (0.9761)	2.0468** (1.0219)
Hightechnology	-0.8556 (0.7737)	-0.6789 (0.8163)	-0.7470 (0.8536)	-0.7540 (0.7937)	-0.7634 (0.7736)	-0.6488 (0.8381)
Independent_members	-2.1639 (3.6906)	-2.4462 (3.7021)	-2.9312 (3.8024)	-2.0265 (3.7343)	-2.6496 (3.6799)	-3.6745 (3.9003)
Management_ownership	1.6852 (1.4306)	2.1701 (1.5574)	2.6397* (1.5759)	1.7535 (1.4703)	1.9347 (1.5086)	2.5415 (1.5762)
Length of the negotiation	-0.0600** (0.0239)	-0.0604** (0.0245)	-0.0605** (0.0259)	-0.0568** (0.0241)	-0.0628*** (0.0239)	-0.0666*** (0.0250)
QFII	-0.4916 (0.9803)	-0.6446 (1.0493)	-0.8522 (1.0803)	-0.4223 (0.9830)	-0.6885 (0.9757)	-0.7110 (1.0757)
Tobin's Q	-0.3295* (0.1684)	-0.2705 (0.1685)	-0.2760 (0.1749)	-0.3269* (0.1710)	-0.3023* (0.1662)	-0.3266* (0.1765)
Leverage	0.2827 (0.7224)	0.1387 (0.7564)	0.3500 (0.7805)	0.3718 (0.7274)	0.2726 (0.7392)	1.0528 (0.8114)
Salesgrowth	-0.2508 (0.3928)	-0.1753 (0.3839)	-0.2303 (0.4098)	-0.2849 (0.3938)	-0.1826 (0.3838)	-0.3416 (0.4019)
Ln(mktcap)	3.1703*** (0.4615)	3.7548*** (0.5654)	3.8119*** (0.5783)	3.1390*** (0.4625)	3.4170*** (0.5122)	3.6671*** (0.5626)
Constant	Yes	Yes	Yes	Yes	Yes	Yes
Year and Industry fixed effect	Yes	Yes	Yes	Yes	Yes	Yes
Observations	380	380	380	380	380	380
Pseudo R ²	0.5382	0.5663	0.5824	0.5438	0.5483	0.5812